Playbook: Payment Terms and Late Fees

NORTHWIND SYSTEMS INTERNAL LEGAL PLAYBOOK ## SECTION 4: PAYMENT TERMS AND LATE FEES Version 4.2 | Classification: Internal Legal & Sales Operations Only Owner: Office of the General Counsel

4.1 Preferred Northwind Position (Model Clause Language)

> 4.1.1 Invoiced Fees. Customer shall pay all undisputed invoices issued by Northwind Systems, Inc. ("Northwind") within thirty (30) days from the invoice date. All payments shall be made in United States Dollars via electronic funds transfer (ACH or wire) to the bank account designated in writing by Northwind.
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> 4.1.2 Late Payments. If any undisputed invoice is not received by Northwind by the due date, such unpaid amount shall accrue a late fee at the rate of one and one-half percent (1.5%) per month, or the maximum rate permitted by applicable law, whichever is lower, calculated from the due date until the date of actual payment in full.
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> 4.1.3 Suspension of Services. If Customer fails to pay any undisputed invoice within fifteen (15) days following written notice of non-payment from Northwind, Northwind reserves the right to suspend Customer's access to the SaaS Platform upon five (5) business days' prior written notice, without incurring any liability to Customer, until all outstanding undisputed amounts and accrued late fees are paid in full.
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> 4.1.4 Taxes. All fees are exclusive of applicable federal, state, local, and foreign sales, use, value-added, withholding, or similar taxes. Customer shall be responsible for the payment of all such taxes, excluding taxes based solely on Northwind's net income.

4.2 Fallback Position

If the counterparty rejects Net 30 or standard late charges, legal counsel and sales representatives are authorized to negotiate the following fallback terms without escalation, provided the contract value meets the thresholds in Section 4.4:

* Payment Window: Net forty-five (45) days from invoice date.
* Late Fee Rate: One percent (1.0%) per month (or 12% annualized), or the maximum legal rate.
* Notice and Cure Periods: Written notice of non-payment required within twenty (20) days of the due date; Customer is granted a thirty (30) day cure period from receipt of notice before service suspension may commence.
* Billing Disputes: Customer must notify Northwind of any billing dispute in writing within twenty-one (21) days of the invoice date, specifying the detailed grounds for dispute. Undisputed portions remain payable per Section 4.1.1.

4.3 Walk-Away Position

Legal counsel and sales representatives must not agree to any of the following terms under any circumstances. If a counterparty insists on any of the provisions below, negotiations must be terminated, or the matter must be escalated per Section 4.5:

* Payment terms exceeding Net sixty (60) days.
* Total waiver of late fees, or an interest rate cap below zero point five percent (0.5%) per month.
* Prohibition of service suspension for non-payment, or a cure period exceeding sixty (60) days following notice.
* Any right for Customer to unilaterally offset, withhold, or deduct disputed or undisputed amounts against future or past invoices without a final, non-appealable judicial determination.

4.4 Specific Numeric and Categorical Thresholds

1. Monetary Floor for Custom Invoicing: Custom invoicing setups (e.g., specific PO matching portals, vendor onboarding fees absorbed by Northwind, or split-billing arrangements) are prohibited for any Master Subscription Agreement (MSA) with an Annual Contract Value (ACV) under $50,000 USD.
2. Late Fee Accrual Cap: Accrued late fees on any single annual invoice shall be capped at a maximum of twenty-five percent (25%) of the face value of that specific invoice.
3. Service Suspension Notice Period: The absolute minimum notice period prior to platform suspension for non-payment is ten (10) business days following the expiration of the standard cure period.
4. Small-Balance Write-Off Threshold: Accounts receivable balances remaining under $250.00 USD at the close of a fiscal year shall be written off automatically by the Finance Department without initiating formal legal collection procedures.

4.5 Named Deviations Requiring Escalation

The following specific deviations from the standard playbook are strictly prohibited at the negotiating table unless explicit written approval is obtained from the designated executive:

1. Quarterly or Milestone-Based Billing Schedules: Any agreement where payments are tied to project milestones, user adoption metrics, or deferred quarterly payments rather than upfront annual or monthly invoicing.
* *Escalate to:* Chief Financial Officer (Marcus Vance).
2. Government, State-Owned, or University Net 90+ Terms: Acceptance of payment terms exceeding Net 60 for public sector, municipal, or higher-education entities that cite statutory payment delays.
* *Escalate to:* VP of Global Sales (Elena Rostova).
3. Waiver of Security Interest or Credit Checks for High-Value Contracts: Waiving standard financial vetting for any contract carrying an ACV exceeding $250,000 USD where credit agency reports indicate a-sub investment grade rating.
* *Escalate to:* General Counsel (Sarah Jenkins).

4.6 Worked Examples of Counterparty Language

4.6.1 Acceptable Counterparty Language (Approved for Use)

> *Example A (Modified Net 45 with standard dispute mechanism):*
> "Customer shall pay all undisputed fees within forty-five (45) days of receipt of a correct and valid invoice. In the event of a good faith dispute regarding an invoice, Customer shall notify Northwind in writing within thirty (30) days of invoice receipt, detailing the disputed elements, and shall pay all undisputed portions when due. Neither party shall withhold payment of undisputed amounts during the resolution of any dispute."
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> *Example B (Capped late charge):*
> "Late payments shall accrue interest at the lesser of one percent (1%) per month or the maximum rate permitted by applicable law, calculated from the due date until paid, provided that total late charges assessed against any single invoice shall not exceed fifteen percent (15%) of the invoice total."

4.6.2 Unacceptable Counterparty Language (Reject / Escalate)

> *Example A (Unilateral offset right — Violation of Walk-Away Rules):*
> "Customer may, at its sole discretion and without penalty, offset or deduct any amounts owed by Northwind to Customer—including indemnification claims, service level credit liabilities, or disputed support charges—against any amounts invoiced by Northwind under this Agreement or any other agreement between the parties."
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> *Example B (Excessive payment terms and restriction on suspension):*
> "Invoices shall be payable on Net 90 terms. Northwind shall not suspend services, restrict user accounts, or alter platform functionality under any circumstances, including Customer's failure to pay undisputed invoices, so long as Customer is actively reviewing the invoice in good faith."